

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics and Monetary Premium

121.6M ETH

Current Supply

~\$2,243

ETH Price

0.1 Gwei

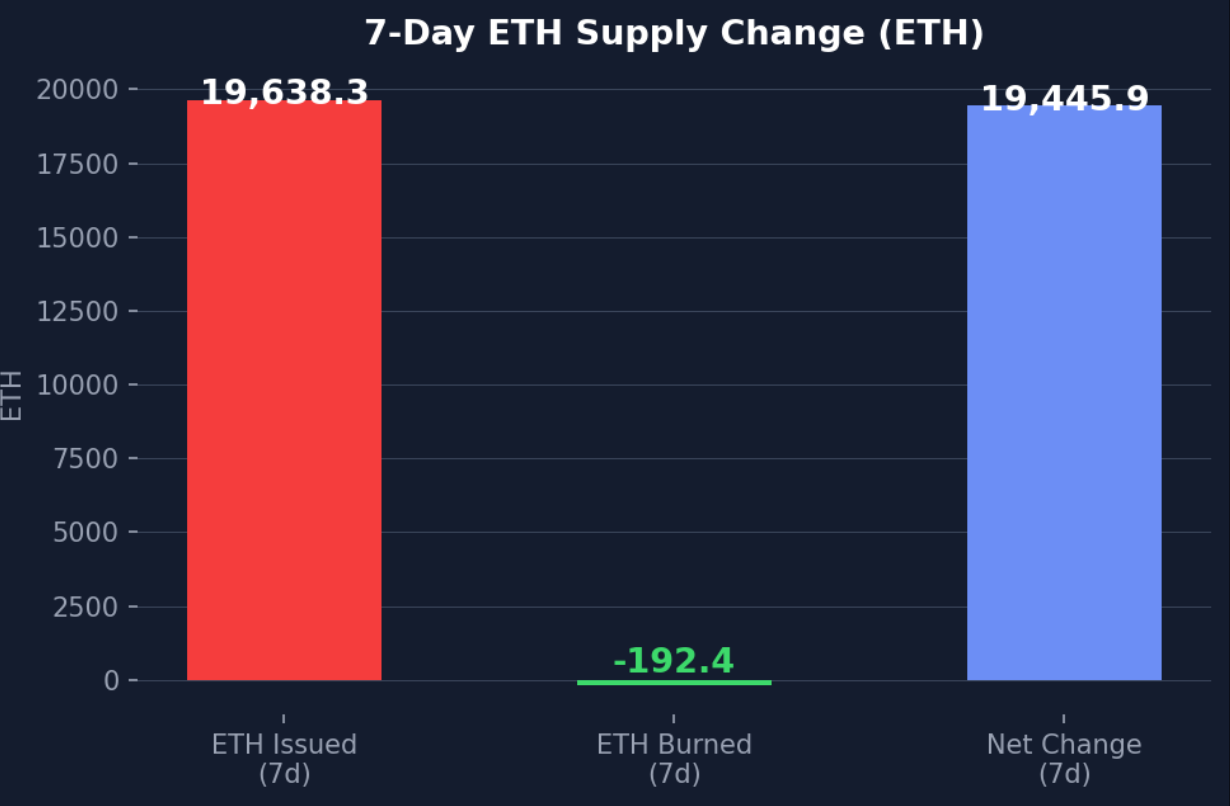
Base Gas (7d avg)

+0.83%/yr

Current Inflation

ETH Supply Growing at +0.83%/Year

Only 192 ETH Burned vs 19,638 ETH Issued in 7 Days



Current Supply

121,603,980 ETH

Offset Ratio

0.01×

Burns offset only ~1% of new issuance

Annualized Inflation

+0.83%/year

Daily Net Addition

~2,778 ETH/day

Source: ultrasound.money | 7-day trailing window

Base Gas at Historic Lows: 0.1 Gwei Average

EIP-1559 Burn Mechanism — Low Gas = Low Burn = Temporary Supply Inflation



7-Day Gas Market Data

Min	0.0 Gwei
Max	1.3 Gwei
Average	0.1 Gwei

Blob Gas (EIP-4844)

Avg: 7,144,934 wei | 7-day blob fee burn: 0.15 ETH (\$319)

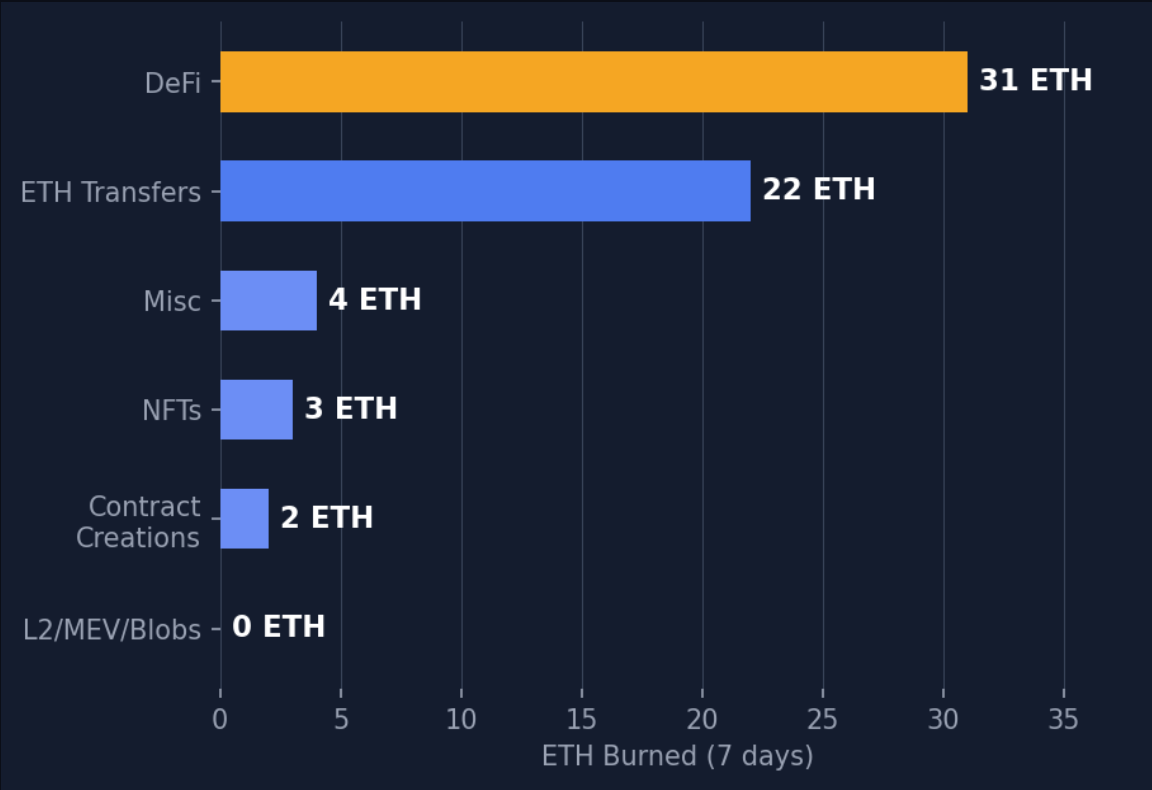
Equilibrium Assumption

Projections use 22 Gwei base gas — far above current 0.1 Gwei.

Low gas = minimal burn = supply remains inflationary until activity recovers

DeFi & ETH Transfers Account for 85% of Weekly Fee Burn

7-Day EIP-1559 Burn Breakdown by Category



Top Burn Leaderboard (7d)

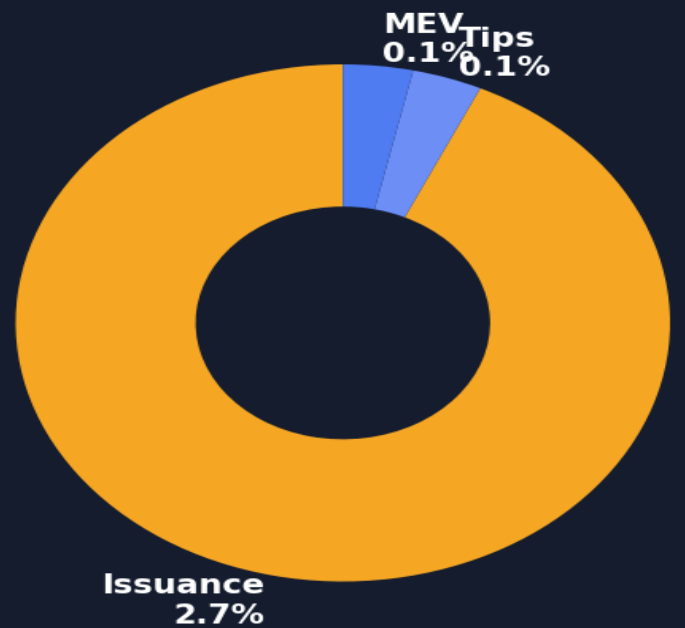
ETH Transfers	21.74 ETH
Tether USDT	13.55 ETH
Uniswap V3	2.88 ETH
Coinbase	2.41 ETH
OpenSea	1.95 ETH
Unknown	1.58 ETH

Total 7-day burn: ~192 ETH | DeFi + ETH transfers = 53 ETH = 85% of total

38.9M ETH Staked at 2.7% Issuance Rewards

Scarcity Engine: Staking Contracts Lock 9.1M ETH for Avg 10.7 Years

Validator Reward Composition (~2.9% Total APR)



ETH Staked

38.9M ETH

32% of circulating supply

Avg Lock Span

10.7 Years

Validator commitment

Tips + MEV

~0 ETH

Minimal at current gas

Staking Contracts

9.1M ETH

Locked in contracts

Daily PoS Issuance

~2,800 ETH/day

At current staking levels

Effective APR

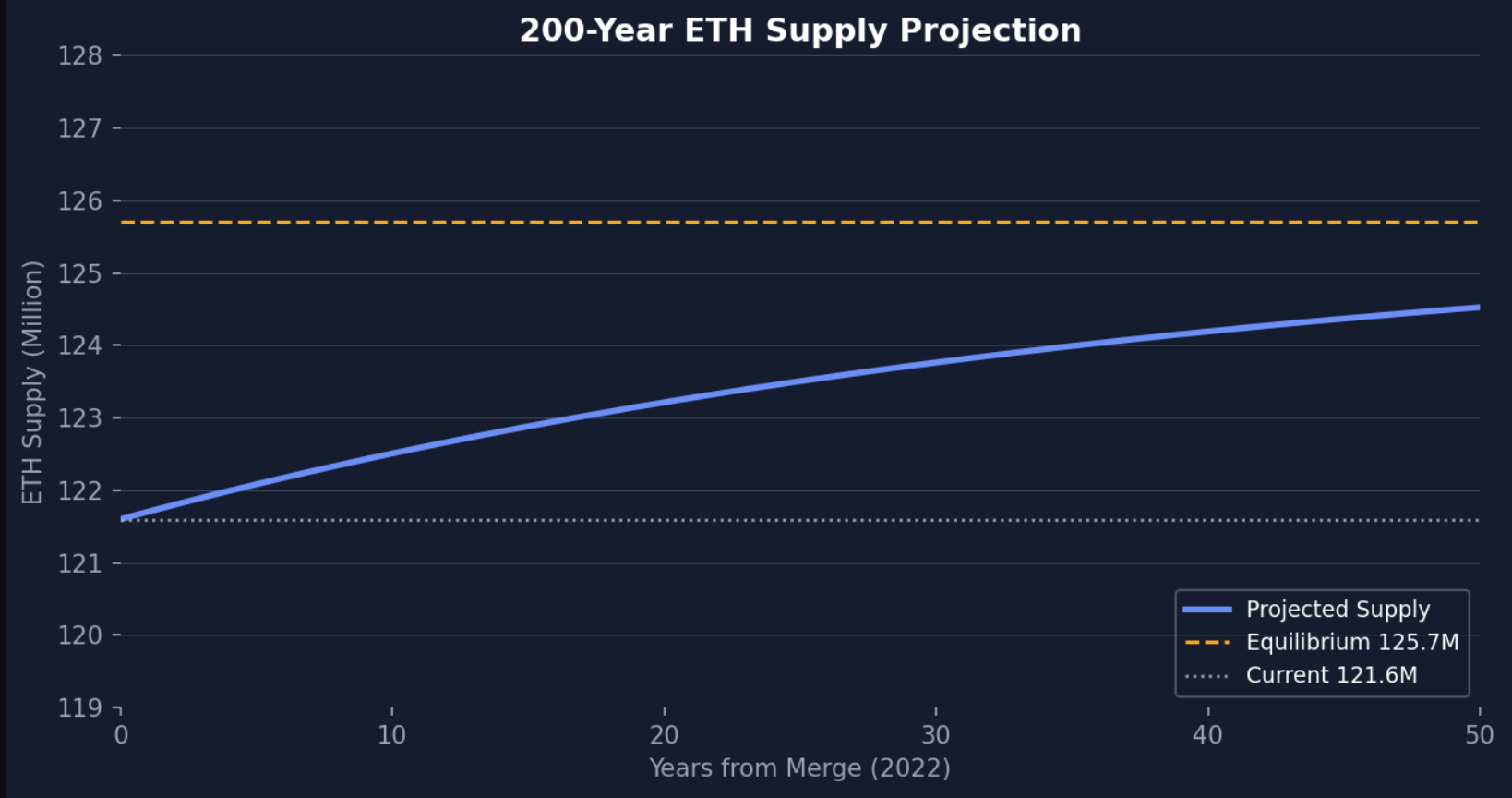
~2.9%

Issuance-dominated

Note: Validator rewards are issuance-dominated (2.7%) vs tip/MEV (~0.1%) — fee burn contributes minimally to staking yield at current gas levels.

Long-Term Equilibrium Projected at 125.7M ETH

200-Year Supply Trajectory: Issuance-Burn Balance Converges at ~1,037K ETH/Year



Projection Assumptions	
ETH Staked	39M
Base Gas Avg	22 Gwei
Equilibrium	125.7M ETH
Annual Balance	~1,037K ETH/yr
Staker APR	2.7%
Non-staker Burn	1.2%/yr

Source: ultrasound.money supply projection model

ETH at 18.7% of Bitcoin's Market Cap — Securing \$272B in Native Value

Total Value Secured: ETH, ERC20s & NFTs on Ethereum

Market Cap as % of BTC



TVS Breakdown

ETH (Native)

\$272.76B

Largest secured asset class

ERC20 Tokens

\$22.21B

Dai \$4.4B, SHIB \$3.5B, CRO \$3.0B

NFTs

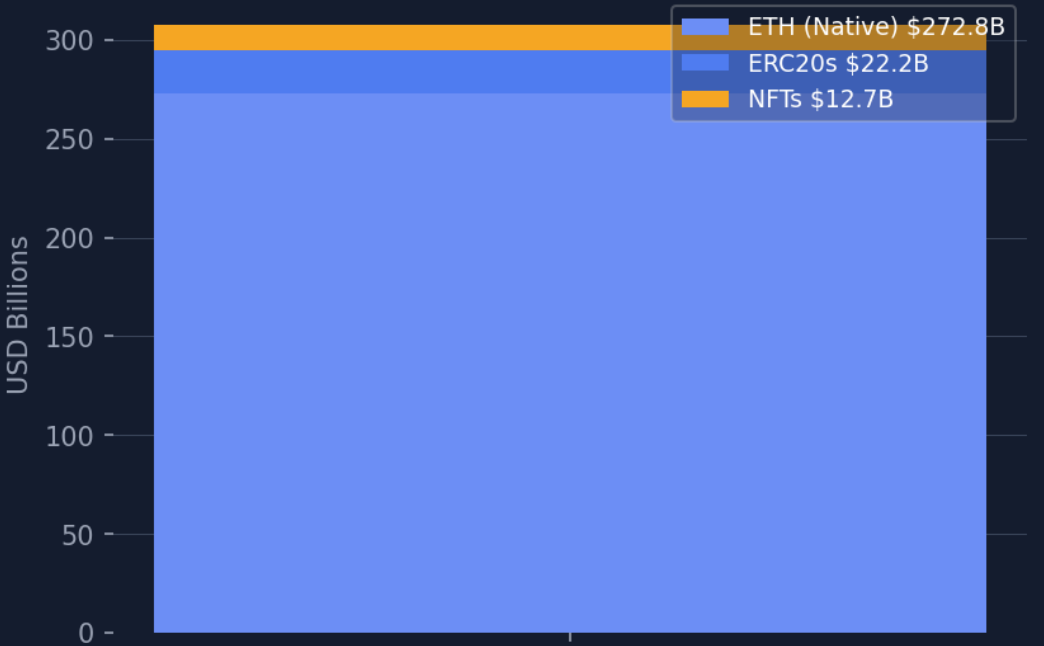
\$12.66B

CryptoPunks \$2.1B, BAYC \$0.68B

Total Value Secured: \$307.6B

Community: 6,000+ members tracking these metrics on [ultrasound.money](#)

Total Value Secured: \$307.6B



Key Takeaways

Ultra Sound Money Thesis Intact — Gas Activity Is the Critical Variable

1 ETH is currently mildly inflationary at +0.83%/yr

Historically low base gas (0.1 Gwei) suppresses EIP-1559 burn. Burns offset only ~1% of issuance. Supply growth resumes when on-chain activity recovers.

2 The burn mechanism works — but requires sustained activity

DeFi and ETH transfers drive 85% of fee burn. Long-term deflation requires average gas above ~22 Gwei, which is structurally possible in a high-activity future.

3 38.9M ETH (32%) staked creates a significant supply lock

Validators commit for avg 10.7 years. ~2,800 ETH/day in PoS issuance is largely independent of fee markets, locking supply away from circulation.

4 Long-term equilibrium at 125.7M ETH is structurally sound

Post-merge removal of PoW issuance was the single largest single supply shock in ETH history. The math converges at 125.7M — the ultrasound hypothesis is credible.

5 \$307B+ TVS & 18.7% of BTC — growing monetary premium

Ethereum secures more value than any other smart-contract chain. The flipping narrative is early but measurable: ETH as a monetary asset is a real, unfolding story.